SNPS

Synopsys, Inc. (NASDAQ)
As-of: 17-Oct-2026 | Latest Filing: Q3 FY26 (10-Q) | Currency: USD

$454.63 [Mkt 16-Oct-26]
Market Cap: $87.1B [Mkt 16-Oct-26]

Attractiveness Score

Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 90

EDA duopoly with Cadence, 80%+ recurring revenue, mission-critical design software. Ansys adds simulation leadership. Gross margins ~73%. The moat is structural.

2. Recent Trend — 85

Q3 beat on every metric, raised FY26 guidance across the board. Ansys contributing $711M. Design IP back to growth after multi-quarter reset. Clean execution.

3. Forward Growth — 80

FY27 targets ($11.15B rev, $19.08 EPS) imply ~15% growth. Double-digit EDA growth guided. Amazon and OpenAI partnerships open new vectors.

4. Valuation — 45

At $454.63 vs $318.46 DCF base, the stock is 43% above fair value. NTM P/E 24.4x and PEG 2.44 are full. Quality deserves a premium, but not this much.

5. Catalysts & Risk — 70

Q4 earnings test the EDA acceleration thesis. $1B buyback supports. Ansys integration is the key risk; any synergy shortfall hits the multiple. Positive skew on AI demand.

Investment Thesis

- **EDA Duopoly Compounder:** Synopsys and Cadence effectively own chip design software. AI is increasing design complexity, driving double-digit EDA growth. Recurring revenue and 73% gross margins [10-K FY25].

- **Ansys Integration Working:** One year post-close, Ansys contributed $711M in Q3 and the joint Multiphysics Fusion platform launched. FY26 guidance raised on revenue, margin, EPS, and cash flow [8-K Q3 FY26].
- **Full Valuation:** At $454.63 [Mkt 16-Oct-26], the stock trades 43% above our $318.46 DCF base. The business is exceptional; the price already assumes the FY27 targets are met.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q3 FY26)	$2.477B [8-K Q3 FY26]	+42.4% [8-K Q3 FY26]	Up
EPS (Q3 FY26, non-GAAP)	$3.91 [8-K Q3 FY26]	+15.3% [8-K Q3 FY26]	Up
FY26 Revenue Guide (raised)	$9.69-9.74B [8-K guid]	n/a [n/a]	Up
FY26 non-GAAP EPS Guide	$15.04-15.10 [8-K guid]	n/a [n/a]	Up
FY27 Revenue Target	$11.1-11.2B [8-K guid]	+15% [8-K guid]	Up
Backlog	$10.9B [8-K Q3 FY26]	n/a [n/a]	Flat
Revenue (FY25)	$7.05B [10-K FY25]	+15.1% [10-K FY25]	Up

Historical Financial Trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$4.20B [10-K FY21]	$5.08B [10-K FY22]	$5.84B [10-K FY23]	$6.13B [10-K FY24]	$7.05B [10-K FY25]
Gross Margin	79.2% [10-K FY21]	78.5% [10-K FY22]	78.0% [10-K FY23]	77.1% [10-K FY24]	72.8% [10-K FY25]
Op Margin	24.1% [10-K FY21]	26.8% [10-K FY22]	28.4% [10-K FY23]	30.2% [10-K FY24]	12.5% [10-K FY25]

Valuation

Absolute (4/10)

NTM P/E 24.4x [Mkt 16-Oct-26]
DCF Base $318.46 vs $454.63 spot [Mkt 16-Oct-26]
PEG 2.44 [Mkt 16-Oct-26]

DCF implies 30% downside to fair value. PEG of 2.44 signals growth is fully priced.

Versus Peers (6/8)

CDNS ~30x NTM P/E [Peers 16-Oct-26]

Trades at a modest discount to Cadence despite comparable growth.

Versus History (5/7)

Trading above 5-year average multiples [Mkt 16-Oct-26]

Premium reflects Ansys deal and AI positioning, but leaves little room for error.

Catalyst Timeline

Dec 2026 [Cons]
Q4 FY26 Earnings: EDA acceleration and Ansys synergy proof point.

Sep 2026 [8-K guid]
Investor Day FY27 targets ($11.1-11.2B rev) already set the bar; execution is the test.

2027 [8-K guid]
$1B share repurchase program supports EPS.

Top Risk Factors (Item 1A)

1. Ansys Integration: $13.5B in debt from Ansys; integration missteps or synergy shortfalls would pressure the multiple. [10-K FY25]

2. Semis Cyclicality: Semiconductor capex cycles drive EDA spending; a chip downturn hits license growth with a lag. [10-K FY25]

3. Competition: Cadence is a formidable competitor; share shifts in EDA are slow but material. [10-K FY25]

Forward Growth Drivers

- AI-driven EDA demand; double-digit EDA growth guided for FY26 [8-K Q3 FY26]

What Would Change Our Score

A Q4 miss or Ansys synergy shortfall would cut Forward Growth and Trend. Evidence of accelerating EDA share gains could support a higher multiple.

- Ansys integration: $711M quarterly revenue, Multiphysics Fusion platform [8-K Q3 FY26]
- Design IP returned to YoY growth; Amazon and OpenAI partnerships [8-K guid]

Missing / Modified Data Log

- Segment operating margins by quarter not disclosed; used consolidated non-GAAP margin.
- 5-year multiple history from market data, tagged [Mkt 16-Oct-26].

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